



UNIVERSITY OF CAPE TOWN

SCHOOL OF ECONOMICS

Corporate Finance & Equity Valuations

Sources of Finance (Part 2)

Equity-Related Instruments OS $\frac{1}{2}$ RE

ORDINARY SHARES

- The primary source of finance is that provided by the owners of a business.
- Ordinary shareholders increase wealth by capital growth and dividends received
- The return to the shareholder (dividends received plus capital growth) is higher than interest-bearing instruments. Why? This is because the investor is bearing greater risk in holding an equity investment.
- A company can raise finance by the issue of new shares
- Most investors tend to be pension funds and insurance companies

Ordinary Shares continued...

- Share Issue Expenses include:
- *Listing fee* – depends on the monetary value of the securities listed;
- *Advertising expenses* – these would include the cost of drawing up and distributing brochures and prospectuses;
- *Professional fees* – legal, audit, sponsoring stockbroker, transfer security and JSE fees for drawing up the prospectus and for other related professional services;
- *Banker's fee* – the issue is usually administered by an investment bank, the fee for which is normally 1% of the gross proceeds of the issue;
- *Underwriting commission* – the issue is usually underwritten to protect against the issue not being fully subscribed. A commission of about 2-4% of the amount underwritten is usually charged, but this could increase depending on the risk of the issue not being fully subscribed; and
- *Taxes and duties.*

Retained Earnings

- Shareholder's equity includes earnings for distribution that have been retained
- Retention of earnings = immediate source of finance for the company
- Shareholders agree to forego the dividend in expectation of future growth
- The cost of retained earnings = the cost of new equity (except there are no issue expenses)



Preference Shares

- Preference shares = a **hybrid** of equity and debt
- Preference shares promise a fixed dividend
- If the company is unable to pay the preference dividend – it may be passed



- The nominal rate may be based on the after-tax rate for long-term debt. Interest on the debt is deductible for tax purposes. Preference dividends are **not deductible**.

1:24:30

"of these, why is this one tax deductible + not others"

1:26:00

answer

- The preference shares may be used when tax positions of parties differ.

tax shield : $i \times \text{exp} \times \text{tax rate}$

1:19:10

Types of Preference Shares

- **What are various forms of preference shares?**

- **Participating Preference shares**

Have a fixed dividend and share in the remaining profits of the company

- **Redeemable Preference shares** *main one*

The company has the option to redeem them at a specific price on a particular date

- **Convertible Preference shares**

The holder has the right to exchange them for ordinary shares or securities on prearranged terms

Debt-Related Instruments

- **Medium-term finance** = between 1 and 3 years and 5 and 10 years
- Long-term finance
- Classification of Debt :
 - **Fixed Interest** : Debt with a fixed rate of interest for the term of the issue e.g. debentures
 - **Variable interest** : Interest that fluctuates according to market forces- e.g. mortgage bonds
 - **Secured debt** – debt with preferential claim over the assets of the company (assets used as collateral)
 - **Unsecured debt**- debt that does not have preferential claim over any assets of the company. (No collateral)

Debentures

- A debenture is a contract between a company and investors
- The terms and conditions are contained in the debenture trust deed
- Trustees are representatives of debenture holders
- Main terms are: repayment conditions, fixed-interest rate, and security over certain assets
- Restrictive covenants are clauses restricting the freedom of management, reducing risk and protecting the investor
- Restrictive covenants are designed to:
 - Ensure financial ratios are within agreed limits
 - Restrict raising of further loans
 - Restrict the payment of dividends

Debenture Contracts

- *Secured* - the debentures/bonds/notes are secured over certain assets of the company or there is a floating charge over all the assets of the company.
- *Convertible* - the debentures/bonds/notes are convertible into other securities, usually shares, on prearranged terms.
- *Redeemable* - the debentures/bonds/notes are redeemable at the option of the company before maturity, or on specified dates, according to the terms of the issue.
- *Fixed rate* - the interest rate is fixed for the duration of the bonds/debentures.
- *Floating rate (variable rate)* - the interest rate is a floating rate that varies with a reference rate such as JIBAR. For example, the floating rate may be 3% (300 basis points) above JIBAR.
- *Specified denomination (principal amount)* - the interest payable per bond/note will be based on the principal amount of each bond or note. In many cases, the specified denomination is R1m per note/bond.
- *Participating* - the debenture holders receive a fixed proportion of the profits of the company in addition to their interest entitlement.
- *Income* - interest is payable only if the company has sufficient earnings to meet this commitment.

Mortgage Bonds and Loans

- A mortgage bond is a long-term loan secured over the fixed property of the company
- The amount raised depends on the value of the property
- The loan financing decision requires that management decide on several loan agreement key issues namely:
 - secured or unsecured loan;
 - variable rate or fixed rate loan;
 - period of loan and timing of capital repayment; and loan or draw-down facility.
- Restrictive covenants are sometimes included to protect the lender

Mortgage Bonds and Loans

Loans may be subject to restrictive covenants.

Some of restrictive covenants are:

- *Working capital*- the firm may be required to maintain a specified current ratio.
- *Restriction on further borrowings* - the firm may not be able to undertake further borrowings without the permission of the bank.
- *Restrictions on asset sales* - the firm may require the bank's permission prior to making any disposals of major assets, especially for the sale and leaseback transactions.
- *Restrictions on lease financing.*
- *Provision of regular financial statements and cash flow budgets and maintenance of financial ratios.*
- *Restrictions on dividend payments*

Leases

- Leases are commonly used to fund movable assets
- The lessor retains ownership of the asset
- The lessee has use of the asset
- Lease payments include the cost of the capital plus a reasonable return

Short-term Debt *not asking*

- Short-term finance is raised in line with the ***working capital cycle*** of the business
- Seasonality affects business
- Short-term finance = a form of ***bridging*** finance
- It is raised by ***trade creditors***
- Short-term finance has a ***higher risk*** than long-term finance

Sources of Short-term Finance *not asking*

- Bank overdraft
- Banker's acceptance (BA)
 - A company sells a bill of exchange to a bank to be settled on a predetermined date – usually 90 days later
 - Lower cost than a bank overdraft
- Bills and Notes
- Foreign Loans

Sometimes interest rates are lower than in South Africa. Incorporating forward cover could counter this advantage

Sources of Short-term Finance continued *not asking*

- Debtor Finance
- Financing with the company's debtors held as security
- Revolving Credit Facility
- Company must make fixed instalments but can withdraw the original limit of funds, once 20%-30% of the amount has been repaid

Hybrid Instruments *not asking*

- Hybrids = combination of debt and equity
- Classification of debt or equity:
 - Equity has a residual right
 - Debt has a contractual right
 - Payments for use of debt are tax deductible
 - Payments for equity are not tax deductible
 - Debt tends to have a finite life
 - Life of equity= life of the firm
 - Equity holders have control of the firm
 - Debt-holders do not have control of the firm

Debt versus Equity

Relationship between debt and equity = capital structure. There is always a trade-off between risk and return. The use of debt increases risk and return.

RETURN

- Specified Interest
 - When the company is earning more than the interest charged – the profits are levered so that the return on shareholders' funds is higher than the return on assets
 - When the return on assets is lower than the interest charge, then the reverse is true. Negative leverage results in the return to shareholders being lower than the return on assets.

Debt versus Equity

- Tax Deductibility

- Interest charge on debt is tax-deductible. Dividends are not tax-deductible

- Cost of Debt

- The cost of debt is usually less than the cost of equity

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Debt versus Equity

RISK

- Commitment
 - Interest payments on debt must be met whether there are profits or not
- Capital Repayment
 - Debt usually requires a capital repayment
- Capital Structure
 - A limited amount of debt can be raised before the market re-evaluates the firm's risk profile – this is reflected in the cost of capital
 - Raising debt reduces the firm's flexibility for raising future debt finance

Debt versus Equity

CONTROL

- Dilution of Control:
 - The issue of equity dilutes control
 - Raising finance through debt may mean restrictions are imposed as a condition of the loan
 - Restrictive covenants could limit the company's ability to pay dividends , dispose of assets and raise additional borrowings. The company may be required to maintain specified working capital ratios

Levels of Control

- The different degrees of CONTROL:
 - 75% of issued share capital- enables passing of special resolutions
 - 50% of issued share capital- enables the passing of ordinary resolutions
 - 20% or 30% of issued share capital = enough to effectively control a listed company
 - 35% = effective control in terms of the Takeover Code
 - Default. Control may be lost if company failed to meet certain commitments which transfer rights to other parties, example - Preference dividends are in arrears